CASCADIA ANALYTICS

Construction Partners

Equity Research Note | ROAD | October 30, 2026

Sunbelt Infrastructure Visibility Meets Margin and Leverage Realities

Analyst: Justin Wen | October 30, 2026

Construction Partners has established an expansive road construction and asphalt paving footprint across the Southeast US, supported by public infrastructure spending and a record project backlog that expanded sequentially to $3.36B in Q3 FY2026. However, the equity's current valuation at 49.8x FY2025 diluted EPS fails to account for emerging margin compression, elevated net debt of $1.53B, and substantial interest burdens that consumed 68% of operating income in Q2 FY2026. While the company's multi-state platform delivers visible volume, the outdoor decentralized operational model remains susceptible to volatile energy input inflation and severe weather disruptions. Reflecting a balanced assessment of long-term public funding against near-term operating frictions and financial leverage, we establish a probability-weighted blended target of $81.29, representing -11.4% upside versus the reference spot price of $91.71, supporting our Hold rating.

HOLD	$81.29	-11.4%	$91.71
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market appears fixated entirely on top-line backlog expansion and consecutive guidance upgrades, pricing the equity as an unconstrained compounder. In doing so, consensus overlooks the reality that acquisitive scaling has elevated financial

leverage while recent quarterly results expose vulnerability to energy cost inflation and interest overhead.

Executive summary

Construction Partners operates as a vertically integrated road construction and asphalt paving company serving public agencies across the Southeast US. The company directs operations through localized platforms, executing infrastructure projects funded primarily by municipal, state, and federal allocations. By positioning asphalt plants, paving crews, and aggregate distribution networks in rapid-growth Sunbelt markets, the organization has expanded its geographic reach through continuous bolt-on acquisitions and regional platform additions, most recently entering Oklahoma and Texas while deepening density across Tennessee and Alabama.

Recent operational performance reflects robust top-line momentum juxtaposed against operational bottlenecks. In Q3 FY2026, revenue expanded 28% year over year to $999M, driven by steady project execution and sustained infrastructure demand. Project backlog reached an unprecedented $3.36B, up from $3.14B in Q2 FY2026 and $2.94B in Q3 FY2025, enabling management to implement a second consecutive full-year guidance raise with implied Q4 revenue of approximately $1.08B. Adjusted EPS reached $1.08 as net income rose 34% year over year. Nevertheless, initial signs of operational friction surfaced during the third quarter as adjusted EBITDA margin contracted to 16.3% from 16.9% in the prior-year period. Management noted that energy cost inflation overwhelmed liquid asphalt index adjustments and diesel hedging positions, compounded by wet weather delays that impeded crew utilization.

This follows an active sequence of operational expansion throughout the earlier half of the fiscal year. In Q2 FY2026, revenue rose 35% year over year to $769.2M, with organic growth accelerating to 11% compared to 3.5% in Q1 FY2026. However, adjusted EBITDA margin remained essentially flat at 12.13% versus 12.12% a year earlier. Crucially, the company incurred $25.6M in interest expense during Q2 FY2026, which absorbed 68% of the $37.4M generated in operating income. In Q1 FY2026, the company posted a counter-seasonal performance with revenue advancing 44% year over year to $809.5M and adjusted EBITDA margins expanding 160 basis points to a first-quarter record of 13.9%, reversing a prior-year net loss of $3.1M into net income of $17.2M. While the growth trajectory remains active, the compounding interest obligations and acquisitive capital deployment require disciplined balance sheet management.

At the close of FY2025, total revenue stood at $2.81B, reflecting 54.2% top-line growth supported by 8.4% organic expansion and 45.6% acquisitive contribution. Full-year gross profit of $439.1M yielded a 15.6% gross margin, while operating income reached $239.8M, representing an 8.5% operating margin. Free cash flow totaled $153.4M, translating to a 5.5% free cash flow margin. The company concluded FY2025 with $156.1M in cash against $1.69B in total debt, creating a net debt balance of $1.53B and an elevated net leverage posture of approximately 3.43x, meaningfully above management's long-term 2.5x target. With enterprise

value standing at 17.9x FY2025 EBITDA and the equity trading at 49.8x historical diluted EPS of $1.84, current trading multiples fully capture the execution pipeline while leaving limited margin for operational variance.

Operational snapshot

$91.71	$2.81B	$153.4M	5.5%	0.95	$91.71
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Localized and Entrenched

Construction Partners maintains a competitive advantage anchored in the localized nature of road construction and asphalt paving. Because hot-mix asphalt must be laid at elevated temperatures within a strict transit radius, commercial asphalt plants possess natural geographic protection. Competitors located beyond functional hauling distances cannot economically contest local paving contracts without bearing prohibitive trucking expenses and material degradation risks. By assembling an interconnected network of asphalt plants and local crew bases across the Southeast US, Construction Partners builds a dense local presence that competitors struggle to duplicate.

The company's focus on public agency clientele establishes elevated institutional barriers to entry. State departments of transportation, county boards, and municipal public works authorities enforce rigorous pre-qualification standards, bidding bonds, past-performance thresholds, and safety certifications. Construction Partners leverages its multi-year operational track record across Alabama, Tennessee, Texas, and Oklahoma to secure premier placement on state DOT letting schedules. Public agency procurement cycles favor well-capitalized contractors capable of absorbing working capital outlays and delivering large-scale surface transportation projects within established contract timelines.

Customer retention among public agencies does not follow typical contractual renewal structures but manifests through high bidding win rates on repetitive maintenance and paving tenders. Infrastructure funding, reinforced by the Infrastructure Investment and Jobs Act (IIJA) and local population migration into Sunbelt corridors, generates continuous letting demand. The repetitive nature of highway resurfacing and routine maintenance ensures that established local contractors maintain continuous asset utilization. With project backlog swelling sequentially from $2.66B in Q1 FY2025 to $3.09B in Q1 FY2026, $3.14B in Q2 FY2026, and $3.36B in Q3 FY2026, the company demonstrates enduring procurement capture across its operational territories.

However, pricing power exhibits distinct structural boundaries. While public contracts frequently incorporate indexing mechanisms for raw liquid asphalt and management implements financial hedges on fuel, the experience in Q3 FY2026 demonstrates that sharp inflationary spikes in energy can overpower existing contract escalators. Because road building involves fixed-unit-price public tenders, unexpected intermediate cost surges or prolonged adverse weather conditions erode operating margins before adjustments reset. The company's competitive standing is durable within its geographic territories, yet it operates in an environment governed by public budget caps and physical operating realities.

Valuation

Three scenarios make the valuation range explicit

Our valuation methodology for Construction Partners applies an EBIT-bridge discounted cash flow framework spanning the FY2026 through FY2030 forecast window. The architecture assesses the transition from rapid inorganic scale toward normalized operating cash flow conversion. Cash flow forecasts utilize an equity beta of 0.95 and a weighted average cost of capital of 7.42%, reflecting the balance of capital market borrowing costs against public infrastructure demand stability. Terminal value calculation incorporates a perpetual terminal growth rate of 3.0%, aligned with long-term infrastructure funding and Sunbelt economic expansion.

The valuation scenarios evaluate divergent paths for top-line conversion and free cash flow generation. Revenue compounding across our forecast models ranges from a conservative 4.5% compound annual growth rate up to 13.5%, reflecting the spectrum between integration pauses and rapid public contract execution. Terminal free cash flow margins range from 5.1% to 7.5%, calibrated against the FY2025 baseline of 5.5% and the variable burden of interest expense and capital reinvestment.

Weighting the scenario outputs at 25% for the Bear case, 50% for the Base case, and 25% for the Bull case yields a blended intrinsic value of $81.29 per share. Across the 56.3 million diluted shares outstanding, this indicates a -11.4% return profile relative to the reference spot price of $91.71. At present market levels, equity pricing embeds substantial execution success, leaving current risk-adjusted prospective returns constrained.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	4.5%	5.1%	$46.30	-49.5%
Base	50%	8.5%	6.1%	$76.78	-16.3%
Bull	25%	13.5%	7.5%	$125.32	+36.6%

Bear $46.30

The bear case assumes a 4.5% revenue CAGR and a target FCF margin of 5.1%. This trajectory reflects persistent weather disruptions, stubborn energy inflation that index mechanisms fail to offset, and heavy debt service costs that constrain organic cash flow generation, producing a fair value of $46.30 representing a 49.5% discount to current spot levels.

Base $76.78

The base case model adopts an 8.5% revenue CAGR and a 6.1% target FCF margin, capturing disciplined conversion of the $3.36B backlog alongside moderate operational leverage as the ROAD 2030 strategy matures. Factoring in steady debt deleveraging toward target levels, this scenario derives an equity value of $76.78, indicating that the stock is moderately overvalued by 16.3%.

Bull $125.32

The bull case incorporates a 13.5% revenue CAGR and an expanded 7.5% target FCF margin. This pathway assumes successful absorption of new platform acquisitions across Texas and Oklahoma, accelerated organic revenue burn above 11%, full recovery in adjusted EBITDA margins toward 16.9%, and substantial interest expense savings from rapid debt retirement, establishing a fair value of $125.32 per share.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative framework incorporates a dynamic capital pricing approach using a WACC of 7.42%. This hurdle rate integrates an equity beta of 0.95, acknowledging that while public road construction and repair budgets exhibit lower volatility than private commercial real estate cycles, the operational execution of paving remains sensitive to local weather disruptions, fuel prices, and state letting cadences. The discount rate reflects the blended cost of servicing $1.69B in balance sheet debt alongside the cost of equity across 56.3 million diluted shares.

The market currently discounts Construction Partners as if its cash flows were impervious to capital structure strain. However, when interest obligations absorbed 68% of operating income in Q2 FY2026, the company's financial flexibility narrowed. The 7.42% discount rate appropriately prices this capital structure reality, balancing long-term sovereign-backed public demand against near-term debt servicing friction.

FCF margin normalization is the engine

Cash flow modeling across the FY2026 through FY2030 forecast window hinges on the trajectory of normalized free cash flow conversion. In FY2025, Construction Partners generated $153.4M in free cash flow on $2.81B in revenue, yielding an FCF margin of 5.5%. In Q4 FY2025, FCF margin compressed to 8.8% from 15.6% in the prior year, illustrating the working capital friction that accompanies rapid inorganic scaling and fleet additions.

Our scenario framework brackets final-year FCF margins between 5.1% in the Bear case, 6.1% in the Base case, and 7.5% in the Bull case. Margin expansion beyond the historical 5.5% baseline requires smooth integration of platform assets, optimized logistics across regional asphalt networks, and the dampening of debt service burdens. Without operating margin expansion beyond the 8.5% level recorded in FY2025, overall cash generation will struggle to justify valuation multiples above historical ranges.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**7.42% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**0.95**
Diluted shares	**56.3 million**

HOLD

over $81.29 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented nationally; local oligopoly by plant footprint. We assign a premium of +10% to sector median multiples on moat strength alone.

- local vertical integration and plant density, the 5 Oct 2026 Texas acquisition added two hot-mix asphalt plants and 125+ employees to Lone Star Paving (StockTitan via ad-hoc-news, Oct 2026), the classic local-moat investment.
- Q3 fiscal 2026 revenue $999.42m (+28.2% YoY), EPS $1.08 vs $1.01 consensus and $0.81 a year earlier (MarketBeat via ad-hoc-news, 1-5 Oct 2026). Growth with a beat shows execution and scale, but a 4.1% net margin caps any claim of pricing power: ROAD wins work and integrates it, it does not price like a monopolist.
- The weakest element is thin, bid-driven margins, TTM net margin 4.1%, net income $142.5m on $3.5bn revenue to 30 June 2026 (TickerNerd, 27 Oct 2026), and dependence on public infrastructure budgets.

On a multiple cross-check, the justified range is EV/EBITDA 11.7×; P/E 22.0×. The cross-check value is P/E-implied $82.87; EV-implied $85.39 vs Base $77.82, spot $83.22, on a base of Framework base from the October 27 moat report. The gap verdict is Whole, of a small $5.40 gap; spot-implied P/E (≈22.1×) ≈ justified 22.0×.

Backlog is $3.36bn project backlog, record, 30 Jun 2026, with coverage of 11.6 months vs approximate TTM revenue and visibility rated High. On backlog alone, the stance is Supports, Base FY2027 cover 84.6 percent matches the disclosed 80 to 85 percent.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	1 points

The combined discount is 19 percent, capped at 20 percent, against an uncapped total of 19 percent. Shown side by side with the moat premium or discount, the net stance is -9 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Public Infrastructure Backlog and Regional Platform Scale HOLD

Construction Partners generates the vast majority of its revenue from road construction and asphalt paving contracts awarded by public agencies across the Southeast US. These contracts encompass state highway resurfacing, local road rebuilding, intersection improvements, and airport runway paving. The operational model requires co-locating asphalt manufacturing plants with field execution teams to optimize transit times and maximize operating efficiency across project locations.

Top-line momentum in recent quarters has been supported by massive project backlog accumulation. Total backlog advanced to $3.0B at the close of FY2025, $3.09B in Q1 FY2026, $3.14B in Q2 FY2026, and a record $3.36B in Q3 FY2026. This trajectory reflects robust public demand fueled by IIJA infrastructure outlays and population growth across Sunbelt states. Demand has consistently outpaced revenue burn, providing exceptional operational visibility into FY2027 and supporting consecutive full-year guidance raises throughout FY2026.

Platform expansion serves as the second primary operational engine. The company's growth playbook blends disciplined organic expansion with programmatic acquisitions. In FY2025, total revenue expanded 54.2% to $2.81B, with 45.6% attributable to acquisitions and 8.4% generated organically. Five platform acquisitions finalized during FY2025 established new operational footholds in Texas and Oklahoma while reinforcing market density in Tennessee and Alabama. This momentum carried into FY2026, where the company completed eight strategic acquisitions in under 15 months, extending operational density across regional networks.

Organic revenue growth accelerated notably during the current fiscal year, moving from 3.5% in Q1 FY2026 to 11% in Q2 FY2026, demonstrating that the base operational franchise continues to capture market share alongside deal integration. However, the operational model remains subject to external weather variables. In Q3 FY2026, management explicitly noted that extremely wet weather impeded operational execution, while energy cost inflation compressed adjusted EBITDA margins to 16.3% from 16.9% in the prior year. Balancing acquisition digestion with organic execution remains central to protecting operating profitability.

What to monitor

- **Backlog burn and replacement velocity** requires ongoing observation as project backlog expands from $3.14B to $3.36B to ensure booking margins remain resilient against cost inflation.
- **EBITDA margin stabilization** must be tracked following the contraction to 16.3% in Q3 FY2026 to determine whether liquid asphalt indexing and diesel hedging adequately protect project profitability.
- **Debt service and deleveraging progress** needs monitoring after interest expense reached $25.6M in Q2 FY2026 and consumed 68% of operating income with net leverage at approximately 3.43x.
- **Platform integration pacing** requires assessment as the organization digests eight strategic acquisitions completed in under 15 months across Texas, Oklahoma, and the Southeast footprint.

+54.2%	15.6%	8.5%	5.5%	$1.53B	11.2%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$2.81B
Gross Profit	$439.1M
EBIT	$239.8M
Net Income	$101.8M
EBITDA	$373.2M
Free Cash Flow	$153.4M
Diluted EPS	$1.84
ROE	11.2%

Risk & moat matrix

The bear case

SHARE EROSION

Aggressive bidding by competing regional contractors on public agency lettings could reduce win rates or compress contract pricing margins across core Southeast markets. If public agencies face local budget reprioritizations, project letting cadences could slow, undermining book-to-bill visibility.

M&A DIGESTION

Integrating eight platform and bolt-on acquisitions completed across five states within a 15-month timeframe introduces execution complexity. Cultural assimilation, operational alignment, and administrative integration across decentralized field offices could strain regional

REGULATORY AND PRICING SCRUTINY

Public transportation contracts mandate strict adherence to state DOT quality specifications and environmental regulations at asphalt manufacturing plants. Material compliance failures or safety violations could lead to disqualification from state

TECHNOLOGY DISRUPTION

Adoption of modern telematics, automated grading systems, and intelligent compaction equipment by larger competitors could erode Construction Partners's operational cost advantages. Failure to modernize asphalt plant automation could elevate unit

REINVESTMENT TREADMILL

Maintaining heavy mobile paving equipment, trucking fleets, and stationary asphalt plants requires sustained capital expenditure outlays. High reinvestment needs reduce cash flow available for debt service, leaving free cash flow margins constrained near historical 5.5% levels.

WACC AND DURATION SENSITIVITY

With $1.69B in debt on the balance sheet, sustained elevated borrowing rates directly increase interest charges, which absorbed 68% of Q2 operating income. Any capital market repricing that lifts the 7.42% cost of capital would significantly depress

executive management.

agency bidding lists.

manufacturing costs.

equity valuation.

The strengths

OLIGOPOLY POSITION

The localized nature of asphalt production creates localized market concentration where a small number of permitted plants control regional supply. Construction Partners holds entrenched competitive positions across key Southeast US transportation corridors.

FCF COMPOUNDING

The core business demonstrated cash generation potential by producing $153.4M in free cash flow during FY2025. When integrated smoothly, regional bolt-ons leverage existing asphalt manufacturing infrastructure to convert public contract volume into operating cash.

GEOGRAPHIC DURABILITY

Expansion into Texas and Oklahoma alongside established platforms in Alabama and Tennessee exposes the company to strong population and economic migration. Sunbelt highway departments receive robust funding streams, providing multi-year volume support.

PIPELINE OPTIONALITY

A record project backlog of $3.36B provides unprecedented revenue visibility entering FY2027. This contracted volume allows management to select accretive public agency tenders while maintaining steady asphalt plant utilization rates.

The bottom line on risk and reward

Construction Partners represents an operationally competent infrastructure franchise positioned within favorable demographic and public spending corridors. The company has demonstrated top-line execution, delivering 54.2% revenue growth in FY2025 and sustaining growth through Q3 FY2026 with revenue approaching $1B. Record project backlog of $3.36B provides multi-year operational support across public agency relationships in the Southeast US.

However, investment valuation cannot separate operational scale from financial risk. The company carries $1.69B in total debt and an elevated net leverage ratio of approximately 3.43x, resulting in substantial interest expenses that consumed 68% of operating income in Q2 FY2026. Furthermore, Q3 FY2026 performance demonstrated that energy cost inflation and wet weather can compress EBITDA margins even amidst record top-line expansion.

At a valuation multiple of 49.8x FY2025 diluted EPS and an enterprise value of 17.9x EBITDA, the market has priced in seamless execution while discounting balance sheet leverage. Our probability-weighted DCF model derives a blended intrinsic value of $81.29 per share, indicating a -11.4% return relative to the reference spot price of $91.71. We maintain a disciplined Hold rating until debt deleveraging materializes or a more attractive valuation entry point emerges.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Road Construction and Asphalt Paving: Local Scale in Sunbelt Infrastructure

Construction Partners operates exclusively as a road construction and asphalt paving enterprise serving public agencies across the Southeast US. The company's operating architecture is organized around vertically integrated regional hubs. In each target market, the company pairs asphalt production facilities with site preparation, grading, and paving crews. This vertical integration allows the organization to control material supply, optimize mix temperatures, and manage job site delivery schedules with precision.

Public agency contracts represent the core of operational activity. State transportation departments, municipal authorities, and county governments let contracts for highway preservation, road widening, and primary arterial resurfacing. These public agency relationships provide counter-cyclical stability compared to private commercial paving, backed by dedicated state infrastructure programs and federal matching dollars through the IIJA. The repetitive lifecycle of asphalt wear necessitates ongoing resurfacing, creating predictable letting cycles across Sunbelt jurisdictions.

Execution remains inherently decentralized and exposed to local physical conditions. Asphalt paving requires dry conditions and optimal ambient temperatures, leaving operational schedules exposed to adverse weather events. In Q3 FY2026, persistent wet weather across southern operational territories disrupted crew scheduling and reduced asphalt laydown efficiency. When inclement weather delays field execution, fixed crew overhead and plant maintenance expenses continue to accrue, reducing operating margins.

The company's strategic roadmap, designated ROAD 2030, seeks to expand this regional model across contiguous southern states. The platform acquisitions executed in Texas and Oklahoma during FY2025 demonstrate this geographic extension. By acquiring established local paving contractors with permitted asphalt plants, the company avoids the protracted permitting hurdles required to construct greenfield facilities. The central operational challenge moving forward lies in maintaining cost discipline and operational integration across this broadened operating footprint.

What the recent record shows

- Backlog expansion accelerated to a record $3.36B in Q3 FY2026, up from $3.14B in Q2 FY2026, $3.09B in Q1 FY2026, and $2.94B in Q3 FY2025, demonstrating strong demand across public agency programs.
- Top-line growth delivered $999M in Q3 FY2026, representing a 28% year over year increase and prompting management to raise full-year guidance for the second consecutive quarter.

- Adjusted EBITDA margin contracted to 16.3% in Q3 FY2026 from 16.9% in the prior-year period as energy cost inflation exceeded liquid asphalt index adjustments and fuel hedges.
- Financial leverage remains elevated with net debt of $1.53B at the close of FY2025 and Q2 FY2026 interest expense of $25.6M absorbing 68% of operating income.

Our read: Construction Partners maintains exceptional public contract visibility across growing Southeast and Sunbelt corridors. Nevertheless, the combination of emerging margin pressures from energy inputs, debt service burdens, and an equity valuation trading at 49.8x historical earnings warrants an objective Hold rating at our $81.29 fair value target.